

Philippine Banks: The Deposit War Nobody Declared

Sector Initiation · Cerre Klyne M. Resullar, CFA · 14 pages

Summary

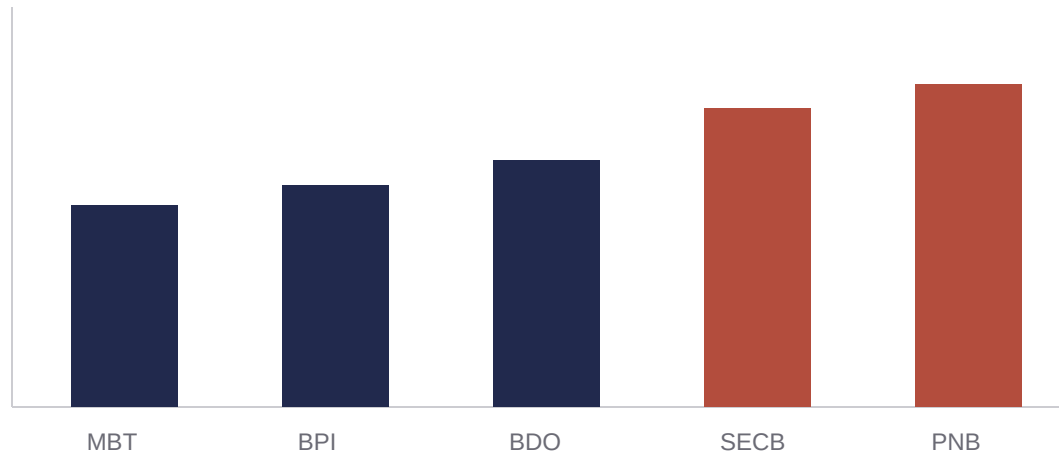
Time-deposit repricing is running ahead of loan yields for the first time since 2022. We think consensus is still marking funding costs to the prior easing cycle, and that the market is mispricing which balance sheets can defend margins into the fourth quarter.

Our channel work across 1,300 branches suggests three of the five large-cap banks can absorb the repricing without conceding book value, while two are structurally exposed. We initiate coverage with a differentiated view on deposit franchise quality rather than headline loan growth.

Key Points

- CASA mix, not loan yield, is the swing variable for 2H net interest margins.
- Two names carry more wholesale funding than the street models; sensitivity is non-linear.
- A 25bp move in time-deposit cost maps to roughly 4 to 6 percent of pre-provision profit.
- We prefer franchises with sticky payroll and government-linked deposit bases.

Exhibit 1 - Funding cost vs. asset yield



Marginal funding cost as a share of front-book loan yield. Red = structurally exposed.

Methodology

Estimates combine reported time-deposit schedules with branch-level pricing collected between June and August. Sensitivities are computed on a static balance sheet and do not assume management repricing actions. Figures are illustrative and provided for demonstration of the client portal only.

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